

Only One Market Believed Warsh

The front end repriced hard on Friday and equity volatility did not. A note about holding both prices at once.

T H E R E A D I N G

Kevin Warsh used his first Jackson Hole address on Friday to say that price stability is the Fed's predominant focus, and that the Committee will have work to do if it is not confident inflation is returning to two per cent. The front end took him at his word. Odds on a 25bp hike in September moved to roughly 57 per cent from about 35 per cent the day before, and the two-year yield rose about 6.6bp to 4.29 per cent, a one-month high, while ten- and thirty-year yields fell. Gold gave up more than three per cent intraday. Equities finished the week lower and close to unchanged on the day. The VIX closed at 14.43, down 0.55 per cent, still inside the 14.07–16.37 band Hedgeye published on Thursday and about a third of a point off its floor.

The rates market treated the speech as information. The equity volatility surface treated it as weather.

W H A T W I S D O M W O U L D S A Y

Frank Ramsey, in the 1926 paper published as 'Truth and Probability', argued that a belief has no content apart from the odds you would actually accept on it, and that a set of beliefs whose odds do not cohere lets someone construct a book of bets against you that wins whatever happens.

The market is not one mind, but on Friday it quoted two prices on the same question. A September hike is not logically an equity drawdown; you can build a coherent world in which policy tightens into decent real growth and nothing much breaks. That is the #Quad1 case, and it may be right. So this is not a contradiction. It is a place where Ramsey's method has purchase. Write the two tickets out at the quoted prices. One says a policy turn is now more likely than not. The other says the chance of that turn disturbing anything is priced near a 52-week low. Ask whether you would buy both. Most people, made to answer, find they would not — which

means they already hold a view about which price is wrong, and have not yet made themselves pay for it.

THERISKITJUSTIFIES

The tape reopens Monday with a repriced front end and untouched volatility. That is not a setup for adding index exposure. Thursday's gain came from one position while ten of eleven sectors fell, and Friday's was a rates move, not a breadth move; neither is evidence the market got broader. It is a setup for cheap optionality or for nothing. Protection bought a third of a point off a band floor costs little and pays if the bond market is the one paying attention. Selling it here is being paid almost nothing to be short what just became more likely.

What would change the answer: a VIX close above 16.37 means equities have caught up and the asymmetry is gone. September hike odds back under 40 per cent by Wednesday means the front end blinked and the vol market was right. An HYG close under 79.53 means credit has joined the bond market, and the question stops being cheap.

Which of the two prices are you already positioned as though you believe?